

Enlightened thinking

The subject of economics as we know it didn't emerge until the late 18th century. During the Enlightenment, when thinkers and scientists were challenging conventional ideas, [Adam Smith](#), a Scotsman, developed a new way of thinking about economics. Smith, along with other thinkers, looked at the way goods are produced and traded. Previously people thought trade was largely a matter of gaining something at the expense of others, but he proposed that both participants in a transaction could benefit. These ideas laid the foundations of modern economics, and together they are called the Classical school.

**95% OF ECONOMICS IS COMMON
SENSE ... MADE COMPLICATED.**

HA-JOON CHANG

Power to the people

It's no coincidence that these new ideas emerged in Britain at this time. The country was changing from a mainly agricultural economy to one of the first industrial nations, and society was changing. The Industrial Revolution, as this became known, brought with it increased prosperity for the owners of the factories and mills, but also poverty for workers in the new industries. [Karl Marx](#) thought that this was unjust, and a failure of the market economy to distribute wealth fairly. He recommended that the factories and other means of production should be taken from their owners, the capitalists, and handed over to the control of the workers so that they could benefit directly from their work. While Marx's ideas were later adopted by a number of communist states, many economists rejected them, believing in the power of the market